[Ai] Banking Institute

The Fair-Lending AI Review Checklist

Reference card · For community banks and credit unions

A pre-deployment and recurring-review card for AI-assisted credit decisions, pricing, eligibility, triage, marketing eligibility, and adverse-action support.

Use one review per workflow, product line, or vendor configuration. Keep the completed checklist with the decision record, model-risk file, or compliance review packet.

Current-law framing

ECOA and Regulation B do not have an "AI exception." AI-assisted credit processes still need documented fair-lending review, adverse-action explainability, human accountability, and outcome monitoring. Although current CFPB rulemaking states that ECOA does not recognize disparate-impact liability, banks should still test AI-assisted credit workflows for protected-basis outcome gaps, proxy-variable risk, and explainability issues as part of fair-lending, model-risk, mortgage/housing, reputation, and governance controls.

Current model-risk guidance, including SR 26-2 where applicable, should be considered when AI supports scoring, recommendations, pricing, decisioning, or other model-like credit processes.

Scope this review

TABLE REFLOWED FOR LARGE PRINT

Product line

AI-assisted workflow

REVIEW NOTE

Credit decision, pricing, eligibility, triage, marketing eligibility, adverse-action support, or other

Tool / vendor / model

Review type

REVIEW NOTE

Pre-deployment, material-change review, periodic monitoring, or issue remediation

Mortgage / housing-related credit in scope?

REVIEW NOTE

If yes, include applicable Fair Housing Act categories

Review owner

Compliance reviewer

Next review date

Protected-basis variables identified for testing only, not used as decision inputs unless legally permitted or required. ECOA / Regulation B: race, color, religion, national origin, sex, marital status, age, receipt of public assistance, and exercise of rights under the Consumer Credit Protection Act. Mortgage / housing-related credit: also evaluate Fair Housing Act categories, including disability and familial status where applicable.

Protected-basis and proxy-variable analysis is performed for compliance testing, monitoring, and review; protected-basis variables are not used as decision inputs unless specifically permitted by law and approved by Compliance.

Pre-deployment review

DATA AND DESIGN

- [ ] Inputs are limited to approved credit, customer, transaction, or collateral data.
- [ ] No prohibited-basis variable is used as a decision input unless specifically permitted by law and approved by Compliance.
- [ ] Proxy-variable candidates are documented and reviewed by Compliance, Fair Lending, or Model Risk.
- [ ] Data lineage, retention location, and vendor access are documented.
- [ ] The intended human reviewer and approval authority are named.

OUTCOME-GAP AND PROXY-RISK TESTING

- [ ] Population tested:
- [ ] Date range:
- [ ] Product line:
- [ ] Sample size:
- [ ] Protected bases tested:
- [ ] Proxy methodology used:
- [ ] Benchmark / non-AI baseline:

- [ ] Materiality threshold:
- [ ] Owner of remediation:
- [ ] Date of next review:

ADVERSE-ACTION EXPLAINABILITY

- [ ] Reasons are specific, accurate, and traceable to factors actually considered.
- [ ] Reasons are not generic labels such as "model score," "internal policy," or "AI recommendation."
- [ ] Reason codes map to approved adverse-action language and can be reviewed by a human before use.
- [ ] Compliance reviewed sample adverse-action notices generated or influenced by the AI process.
- [ ] Any vendor-generated explanation is tested against the bank's notice standards before use.

GOVERNANCE AND ACCOUNTABILITY

- [ ] The business owner, compliance reviewer, model-risk reviewer, and vendor owner are recorded.
- [ ] Approval criteria, exception handling, overrides, and escalation paths are documented.
- [ ] Monitoring cadence is set before launch.
- [ ] Required evidence is stored in the control file, model-risk file, or compliance review packet.

Recurring review

- ☐ Re-pull protected-basis outcome-gap metrics and compare against the prior period.
- ☐ Review portfolio monitoring indicators such as performance, default, prepayment, override, exception, and pricing patterns where applicable.
- ☐ Recheck proxy-variable risk when data sources, model logic, prompts, cutoffs, policies, or vendor settings change.
- ☐ Sample adverse-action notices generated or influenced by the AI process and confirm reasons remain specific, accurate, and traceable.
- ☐ Re-run the full review after vendor model updates, policy changes, new product lines, or material population shifts.
- ☐ Log findings, accepted risks, remediation owners, due dates, and the next review date.
- ☐ Report material findings to the fair-lending, compliance, model-risk, or governance forum named in policy.

Review disposition

TABLE REFLOWED FOR LARGE PRINT

Approved for controlled use

USE WHEN

Controls, monitoring, and notice review are complete.

Approved with remediation

USE WHEN

Use may proceed only under documented conditions, owners, and due dates.

Hold for revision

USE WHEN

Testing, explainability, governance, or evidence is incomplete.

Do not use

USE WHEN

The process creates unresolved protected-basis, explainability, governance, or legal risk.

Stronger review kit

For a complete implementation packet, pair this checklist with The Fair-Lending AI Review Kit:

- Fair-lending AI checklist PDF
- Editable testing worksheet
- Adverse-action sample review log
- Recurring monitoring template

Download the editable worksheet: `/downloads/artifact-fair-lending-ai-review-worksheet.xlsx`

Sources: cite in the review file

- Equal Credit Opportunity Act
- Regulation B, 12 CFR Part 1002
- CFPB Circular 2022-03, adverse-action notification requirements for complex algorithms
- CFPB Circular 2023-03, adverse-action notice requirements and specific reasons
- SR 26-2 Revised Guidance on Model Risk Management, where applicable
- Fair Housing Act, where mortgage / housing-related credit is in scope
- AIEOG AI Lexicon and Financial Services AI Risk Management Framework